IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CP(CAA)No.78/BB/17
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF
BRIGADE ENTERPRISES LIMITED
BRIGADE HOTEL VENTURES LIMITED
BRIGADE HOSPITALITY SERVICES LIMITED
AND
AUGUSTA CLUB PRIVATE LIMITED
Order delivered on:13th March, 2018

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s) 1. Ms.Jyothi, Advocate
2. Mr.Putta Siddaiah, Central Gov.Standing Counsel

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 15.11.2017, 4.1.2018, 31.1.2018, 21.2.2018, 26.2.2018

COMMON ORDER

These Company Petitions were filed on behalf of the Petitioner Companies under Section 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangement and Amalgamation) Rules, 2016, praying to order for sanctioning of the scheme of Arrangement of the Transferor Company with the Transferee Companies and shall be binding upon all the Shareholders and Creditors of the Companies.

The averments made in the Company Petition are briefly described hereunder:

The Petitioner Companies seek an order for sanctioning the Scheme of Arrangement of Brigade Enterprises Limited (Transferor Company) with Brigade Hotel Ventures Limited (Transferee Company No.1), Brigade Hospitality Services Limited (Transferee Company No.2), Augusta Club Private Limited (Transferee Company No.3). The Scheme of Arrangement is shown as **Annexure-A.**

The Petitioner Company No.1/Transferor Company was incorporated on 8th November, 1995 with Registrar of Companies, Karnataka under the name and style of

Corrections carried out wide bench order dated 23-3-2018.

Brigade Enterprises Limited. The Registered Office of the Applicant Company No.1/ Transferor Company is situated at 29th and 30th floor, World Trade Centre, 26/1, Brigade Gateway, Dr. Rajkumar Road, Malleshwaram-Rajajinagar, Bangalore-560055.

The main objects of the Petitioner Company No.1/Transferor Company is to carry on the business of property developers, real estate promoters, builders, masonry and general construction contractors and among other things to constitute, execute, carry out, equip, improve work and advertise houses, buildings, industrial sheds, commercial complexes and erection of every kind, or any building or construction materials. The copy of Memorandum and Articles of Association of the Petitioner Company No.1/Transferor Company is shown as **Annexure-B.**

The latest authorized share capital of Petitioner Company No.1/Transferor Company is Rs.150,00,00,000/- divided into 15,00,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.135,69,05,610/- divided into 13,56,90,561 Equity Shares of Rs.10/-each fully paid up. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure –C.**

The Petitioner Company No.2/ Transferee Company No.1 was incorporated on 24th August, 2016 under the name and style of Brigade Hotel Ventures Limited. The Registered office of the Transferee Company No.1 is situated at 29th and 30thfloor, World Trade Centre, 26/1, Brigade Gateway, Dr. Rajkumar Road, Malleshwaram-Rajajinagar, Bangalore-560055.

The main objects of the Petitioner Company No.2/Transferee Company No.1 is to carry on the business of activities such as establishment, construction, erection, building, owning, purchase, acquisition, undertaking, promotion, running, management, owing, leasing, operation, of spaces such as restaurants, service apartments, senior citizens homes, retirement homes, cinema multiplexes, old age homes, health centres, hospitals and so on. The copy of Memorandum and Articles of Association of the Petitioner Company No.2/ Transferee Company No.1is shown as **Annexure-D.**

The latest authorised capital of the Petitioner Company No.2/Transferee Company No.1 is Rs.1,00,00,000/- divided into 10,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.1,00,00,000/- divided into 10,00,000 equity shares of Rs.10/- each. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-E.**

It is further stated that Petitioner Company No.3/ Transferee Company No.2 was incorporated on 1st June, 2004 under the name and style of Brigade Hospitality Services Limited with the Registrar of Companies, Karnataka. The Registered office of the Transferee Company No.2 is situated at 29th Floor, World trade Center, brigade gateway Campus, 26/1 Dr.Rajkumar Road, Malleshwaram-Rajajinagar, Bangalore-560055.

The main objects of the Petitioner Company No.3/Transferee Company No.2 is to carry on the business of activities such as erection, building, owning, purchase, acquisition, promotion, running, management, purchase, acquisition, promotion, running, management, owning, leasing, operation, of spaces such as restaurants, service apartments, senior citizens homes, cinema multiplexes, health centres and so on. The copy of Memorandum and Articles of Association of the Petitioner Company No.3/Transferee Company No.2 is shown as **Annexure-F.**

The latest authorised capital of the Petitioner Company No.3/Transferee Company No.2 is Rs.15,00,00,000/- divided into 1,50,00,000 equity shares of Rs.10/- each and The issued, subscribed and paid-up capital is Rs.15,00,00,000/- divided into 1,50,00,000 equity shares of Rs.10/- each. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-G**.

It is further stated that Petitioner Company No.4/ Transferee Company No.3 was incorporated on 1st September, 2016 under the name and style of Augusta Club Private Limited with the Registrar of Companies, Karnataka. The Registered office of the Transferee Company No.3 is situated at 29th& 30thFloor, World Trade Center, brigade gateway Campus, 26/1 Dr.Rajkumar Road, Malleshwaram-Rajajinagar, Bangalore-560055.

The main objects of the Petitioner Company No.4/Transferee Company No.3 is to carry on the business of activities such as erection, building, owning, purchase, acquisition, promotion, running, management, owning, purchase, acquisition, promotion, running, management, owning, leasing, operation, of spaces such as restaurants, service apartments, senior citizens homes, cinema multiplexes, health centres and so on. The copy of Memorandum and Articles of Association of the Petitioner Company No.3/Transferee Company No.2 shown as **Annexure-H.**

The latest authorised capital of the Petitioner Company No.4/Transferee Company No.3 is Rs.10,00,000/- divided into 1,00,000 equity shares of Rs.10/- each and The issued,

subscribed and paid-up capital is Rs.5,00,000/- divided into 50,000 equity shares of Rs.10/- each. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-I**.

It is further averred that the proposed arrangement will benefit all the companies in the following manner:

1. This arrangement will help provide focussed leadership and management attention to each of these business undertakings.
2. To grow the business and enhance the shareholder return on a year on year basis.

It is further stated that, the Board of Directors of the Transferee Companies and Transferor Company have approved and adopted a Scheme of Arrangement at their respective meetings held on 15th December, 2016 of Brigade Enterprises Limited, Brigade Hotel Ventures Limited, Brigade Hospitality Services Limited and Augusta Club Private Limited subject to confirmation. Copies of the Board Resolution of Transferee Companies and Transferor Company dated 15th December, 2016 approving and adopting the Scheme of Arrangement are shown as **Annexure-J, K, L, M respectively.**

The Petitioner Companies had filed CA(CAA).No.49/17 before this Tribunal for seeking to convene the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant company no.1, to convene the meeting of Unsecured creditors of Applicant Company No.3, dispense with convening of meetings of Shareholders, Secured creditors and Unsecured Creditors of Applicant Company No.2&4 and dispense with convening of meeting of Shareholders and Secured Creditors of Applicant Company No.3. This Tribunal vide separate orders dated 7th August, 2017 allowed the Application and directed that the meeting of Equity Shareholders, Secured Creditors & Unsecured Creditors of Applicant Company No.1 on ~~3rd October, 2017~~ 21st September 2017 at 10:00 A.m. ,12:00 Noon ~~and 1:00 P.M~~ on 21-9-2017 at 4-00 pm respectively. The meeting of Unsecured Creditors of the Applicant Company No.3 on 3rd October, 2017 at 2:00 P.M.. The meetings of Shareholders, Secured Creditors and Unsecured Creditors of the applicant companies no.2 &4 and meeting of Shareholders and Secured Creditors of Applicant Company No.3 is dispensed with. Copy of order passed by this Tribunal in CA(CAA)No.49/BB/2017 is shown as **Annexure-A in the memo dated 17th October, 2017.**

The Transferor Company and the Transferee Companies filed the petition bearing CP(CAA) No.78/BB/17 before this Tribunal for approving the scheme of Arrangement on 28th September, 2017.

This Tribunal vide order dated 15th November, 2017 in CP(CAA)No.78/BB/17 issued notice to Regional Director, Registrar of Companies, Income Tax Department, Official Liquidator and to other sectoral regulators and also directed to have an advertisement be published in the "The Hindu" and "Udayavani" newspapers stating that the next date of hearing of the present petition was on 4th January, 2018. A Memo dated 21st February, 2018 has been filed at Page No.1-2 in CP(CAA)No.23/BB/17 furnishing the newspaper publications.

In pursuant to the same the Counsel for the Petitioner Companies has filed affidavit **dated 27th December, 2017** of the authorized signatory of the Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**UdayaVani**' a Kannada daily Newspaper.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad has filed affidavit dated 21st February, 2018 making some observations:

a. The 1st, 2nd and 3rd Resulting/Transferee Companies, at present, have no requisite provisions in their authorized share capital clause to issue OCRPS, if any, for discharge of consideration to the Demerger/Transferor Company. Hence, those companies will have to file Form SH 7 for suitable increase in the Authorized Share Capital as also MGT-14 for incorporating requisite amendments to the Authorized Capital Clause of Memorandum of Association, on the strength of the Tribunal approved scheme.
b. The 1st, 2nd and 3rd Resulting/Transferee Companies shall also file MGT- 14 forms notifying the approval of their respective boards to the instant scheme of arrangement in terms of Section 179(3)(i) read with Section 117(3)(g) of the Companies Act, 2013.

The Counsel for the Petitioner Companies has filed an Affidavit dated 21st February, 2018 by way of memo dated 21st February, 2018 and stated as follows:

1. For Observation No.1: The Petitioner Companies No.2 to 4 (being the Transferee Companies do not have sufficient authorized capital to allot Optionally Convertible Redeemable Preference Shares (OCRPS) to the Petitioner Company No.1 as consideration. The Authorized Signatory of the Petitioner Companies stated that the Petitioner Companies No.2&4 hereby

undertake to increase their authorized capital in accordance with the provisions of the Companies Act, 2013 and applicable law, upon the scheme becoming effective, before allotting the Optionally Convertible Preference Shares (OCRPS) as consideration in the terms of the scheme.

2. For Observation No.2: The Authorized Signatory states that the MGT-14 was filed by the Transferee Company No.1, 2 and 3 along with the relevant payment challans are attached herewith as Annexure A series. Copy of the same was also served on the office of Regional Director on 6.2.2018. It was further stated that the MGT-14 has also been approved by the ROC. The copy of the MGT-14 and payment challans along with the mail intimating the approval for filing the MGT-14 is attached herewith as Annexure A series.

The Registrar of Companies in Karnataka, Bangalore vide letter No.ROCB/Legal/CA.No.49/BB//2017 dated 7th November, 2017 has filed his Report stating that

1. Demerging/Transferor Company has filed GNL-1 Resulting/Transferee Company No.1,2 & 3 have not filed GNL-1. Demerging/Transferor Company and Resulting/Transferee Company No.1,2 & 3 have not filed MGT-14 approving the scheme in terms of Section 179 (3) (i) read with Section 117(3)(g) of the Companies Act, 2013.
2. Transferee/Resulting Company No.1 & 3 were incorporated on 24/8/2016 and 1/9/2016 respectively. Annual Return and Balance Sheets are not yet due.
3. Hon'ble NCLT in its order dated 7.8.2017 directed the petitioner companies to publish in Newspaper about the notice of meeting of Equity shareholders and creditors in HINDU and UDAYAVANI. Petitioner Companies has not attached a copy of the newspaper publication.
4. Resulting/Transferee Companies are going to pay the Demerging/Transferor Company in terms of cash or OCRPS or both. However the Resulting/Transferee Company No.1 does not have any amount of authorized capital with it. Resulting/Transferee Company No.2 and No.3 do not have OCRPS (Optionally Convertible Redeemable Preference Shares) in their account.

The Counsel for the Petitioner Companies has filed a Memo dated 31.1.2018 and stated as follows:

1. For Observation No.1: There is no requirement to file form GNL-1 in the present case as the joint petition is filed under section 230 to 232 of the Companies Act, 2013 and not under Section 233. Under Rule 25(4)(b) of the Companies (Compromises, Amalgamations and Arrangements) rules, 2016, form GNL-1 is required to be filed in case the petition is filed under Section 233 of Companies Act, 2013. By way of abundant caution, Form GNL-1 has been filed in respect of Transferor Company viz. a listed entity. However, a copy of the scheme has been served on the ROC in the physical form and the acknowledgement is attached herewith as Annexure A.
2. For Observation No.2:The MGT-14 filed by the Transferee Company No.1,2 and 3 along with the relevant payment challans are attached herewith as Annexure B series.
3. For Observation No.3:The copy of notice of hearing on 4.1.2018 of the Hon'ble National Company Law Tribunal was published in "The Hindu" and "Udayavani" both dated 12.12.2017 and the same was filed before this Hon'ble Tribunal vide compliance affidavit dated 27.12.2017. The compliance affidavit filed by the director of the Transferor Company was taken on record by this Hon'ble Tribunal vide its order dated 4.1.2018.

   The newspaper advertisements have been served on the ROC vide letter dated 23.1.2018 and the same is produced herewith as Annexure-C.

4. For Observation No.4:While the present authorised capital of the Transferee Company No.1 may not be sufficient to issue and allot OCRPS to the Transferor Company, upon the scheme becoming effective, before allotting the shares in the terms of the scheme, the authorised capital of the Transferee Company No.1 will be increased.

   Transferee Company No.2 and 3, upon the Scheme becoming effective, the share capital of Transferee Company No.2 and 3 the unissued authorised capital will be reclassified and divided to provide for such number of OCRPS required for issue and allotment of OCRPS to the Transferor Company.

The Counsel for the Petitioner Companies has furnished the certificate of the Chartered Accountant stating that the accounting treatment detailed in the aforesaid Scheme

is in compliance with Accounting Standard-14 for Amalgamation as prescribed under Section 133 of the Act read with Rule 7 of the Companies (Account) Rules, 2014. The Certificate of the Charted Accountant is shown as **Annexure-O.**

Further the Director of the Petitioner Companies in his Affidavit dated 17th October, 2017 stated that there are no other approvals required from sectoral regulatory authorities.

After hearing the counsel for the Petitioner Companies and also considering the materials on records the scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme as above, we further clarify that, this order should not be construed as an order in any way of granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Brigade Enterprises Limited (Transferor Company) be transferred without further act or deed to the Brigade Hotel Ventures Limited (Transferee Company No.1), Brigade Hospitality Services Limited (Transferee Company No.2) and Augusta Club Private Limited(Transferee Company No.3) and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Companies for all the state and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same; and

All liabilities including taxes and charges, if any and duties of the Transferor Company be transferred without further act or deed to the Transferee Companies and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Companies; and

All proceedings now pending by or against the Transferor Company, if any, be continued by or against the Transferee Companies; and

The tax implications, if any arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the respective Tax Authority shall be binding.

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be

delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements And Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Arrangement i.e., 1st October, 2016

The Petitioner Companies should ensure compliance of their undertaking dated 31st January, 2018.

The Transferor Company or its authorised signatory is directed that after the completion of the process of Arrangement to handover the possession of the books of accounts and other relevant documents of the Brigade Enterprises Limited (Transferor Company) to Brigade Hotel Ventures Limited (Transferee Company No.1), Brigade Hospitality Services Limited (Transferee Company No.2) and Augusta Club Private Limited (Transferee Company No.3) for the purpose of Section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

13/3/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

13.3.18

(RATAKONDA MURALI)
MEMBER, JUDICIAL